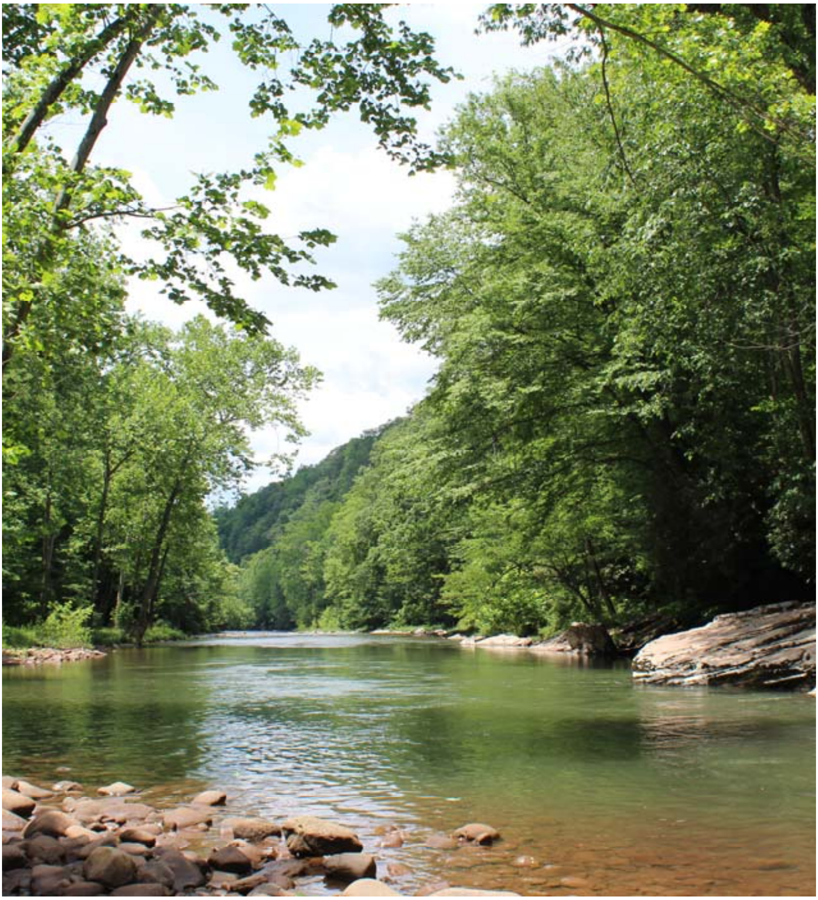
# PARDEE RESOURCES COMPANY

## 2ND QUARTER 2023



Responsible Development of Natural Resource Properties

Integrity Creativity Excellence Respect Teamwork Family

# To Our Shareholders:

During Q2 2023, Pardee Resources Company earned $5.22 per share, 43.5% below the $9.24 per share earned during Q2 2022. EBITDA during the quarter was $8.04 per share, 45.5% below EBITDA of $14.74 per share earned in 2022. Our results were negatively impacted by year-over-year declines in prices for both natural gas and timber, while coal prices remained strong. With harvest season due to begin for grapes and almonds in mid-summer, early indications suggest a strong crop for both, notwithstanding the above-average temperatures experienced recently in southern California. During the quarter, we successfully concluded the sale of most of our New Jersey solar assets for $1.2 million.

**Metallurgical Coal Division**: Several blast furnace steel plants in both the U.S. and Europe restarted production in early 2023, boosting demand for metallurgical coal. However, a strong supply response on the part of coal producers, aided by an easing of rail, port, and equipment delays, weighed negatively on spot prices while contract prices remained strong. At Pardee, tons mined and sold from our properties during the quarter totaled 677,600, 6% below last year's levels, as difficult geologic conditions temporarily restricted production in an operating deep mine. Meanwhile, our royalty per ton improved 3.5%, to $8.65, and quarterly Division revenues were $6.2 million, slightly below last year's revenues of $6.3 million.

**Oil & Gas Division:** Natural gas prices in the Appalachian Basin during Q2 averaged $1.57 per MMBtu, a 75.3% decline versus the average price of $6.36 per MMBtu recorded in Q2 2022, as near record-high production combined with high storage levels, and limited pipeline capacity constrained the ability to move excess supply out of the Basin. Prices are expected to recover later in the year with the onset of the home heating season. Production from our properties during the quarter increased 5.8% over last year's levels, due to a property acquisition made in Q1 2023 and gains from our Colorado holdings where 29 new wells have come online since the beginning of the year. In total, quarterly Division revenues fell 58.3% year-over-year, from $3.6 million in 2022, to $1.5 million in 2023.

**Timber & Surface Division:** Higher mortgage rates contributed to a 6.6% annualized decline in U.S. housing starts in May 2023 versus May 2022, reducing timber demand from the housing sector. Due to a softening in the global economy, hardwood exports year-to-date through May were down 27.2% versus the prior year period. Pardee's realized average hardwood stumpage price during the quarter was $260 per mbf, down 30.8% from $376 per mbf a year ago. Hardwood and softwood production from our properties was down 50.1% and 92.6%, respectively, compared to a year ago, both because in 2022 we temporarily elevated harvest levels to take advantage of the strong markets, and with weaker markets this year, mills scaled back production to do maintenance, thereby delaying certain logging operations until the third quarter. During the second quarter, Division revenues were $822,000, 60.2% below the $2.06 million earned during Q2 2022.

**Alternative Energy Division:** We successfully sold most of our solar photovoltaic systems located in New Jersey. While the selling price of $1.2 million resulted in a book loss of $400,000, the sale realized our target rate of return on the investments, which were made over ten years ago, and reduced our future operating costs. While production and pricing for our portfolio were level with Q2 2022, the book loss mentioned above contributed to a 38.7% decline in quarterly Division revenues.

**Agriculture Division:** The unusually heavy snow and rainfall which occurred in western states earlier in the year resulted in an increase in irrigation surface water available to California farms, thereby reducing the need for well water. Meanwhile, our grape and almond farms both developed favorably through the spring with successful harvests expected during the summer and fall. It appears that the recent high temperatures in California have come late enough in the growing season so as not to cause meaningful harm to the vines or grapes.

**Share Repurchases:** As previously reported, the Company from time to time engages in stock repurchases, and during the six months ended June 30, 2023 repurchased 13,884 shares of its common stock in private transactions authorized by our Board of Directors, at a total cost of $3.52 million. The Company may repurchase additional shares in the future and interested shareholders should contact the Company for additional information.

**Summary:** During the quarter, we were once again reminded of the advantages of diversification, as coal performed well while natural gas and timber were weighed down by weak commodity prices. The Company ended the quarter with $28 million in cash and limited debt, allowing us to meet our dual goals of returning capital to shareholders and investing for future growth. Lastly, we are grateful for the skill, dedication, and hard work of our employees, whose daily contributions during the quarter provided for the Company's ongoing success.

*Please see page 6 for an update of legal matters.

Sincerely yours,

Chairman
Benjamin A. Burditt

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Pardee Resources Company
Unaudited Consolidated Balance Sheets

(Dollars in Thousands)

| | 6/30/2023 | 12/31/2022 |
|---|---|---|
| **ASSETS** | | |
| Current Assets: | | |
| Cash & Cash Equivalents | $28,093 | $22,688 |
| Accounts Receivable | 4,532 | 9,280 |
| Prepaid Income Taxes | 0 | 426 |
| Assets Held for Sale | 0 | 1,685 |
| Other | 3,731 | 1,019 |
| | 36,356 | 35,098 |
| Fixed Assets: (Net of Depl. & Deprec.) | | |
| Land & Right of Ways | 27,919 | 27,954 |
| Mineral Rights - Coal | 32,880 | 32,956 |
| Timber | 9,325 | 9,532 |
| Solar Equipment | 11,477 | 11,859 |
| Building & Structures | 1,104 | 1,141 |
| Agriculture Development | 9,487 | 9,428 |
| Equipment | 366 | 266 |
| Automobiles | 275 | 229 |
| Other Fixed Assets | 1,354 | 1,467 |
| | 94,187 | 94,832 |
| Investments & Other | | |
| Oil & Gas Investments (Net of Depl. & Deprec.) | 34,061 | 33,904 |
| Equity Investments | 0 | 523 |
| Right of Use Asset | 3,157 | 3,262 |
| Other | 136 | 153 |
| **Total Assets** | $167,897 | $167,772 |
| **LIABILITIES & EQUITY** | | |
| Current Liabilities: | | |
| Accounts Payable | $869 | $2,300 |
| Deferred Revenues | 437 | 223 |
| Taxes Payable | 33 | 223 |
| Current Portion of Note Payable (non-recourse) | 118 | 118 |
| Current Portion Lease Liability | 279 | 279 |
| | 1,736 | 3,143 |
| Noncurrent Liabilities: | | |
| Non-recourse Debt | 902 | 949 |
| Supplemental Pension Plan | 626 | 534 |
| Deferred Taxes | 15,566 | 15,566 |
| Deferred Revenue, Net of Current Portion | 324 | 475 |
| Asset Retirement Obligation | 32 | 32 |
| Lease Liability | 3,331 | 3,371 |
| Other | 0 | 121 |
| Total Liabilities | 22,517 | 24,191 |
| Shareholder's Equity: | | |
| Common Stock | 775 | 775 |
| Additional Paid in Capital | 12,481 | 13,857 |
| Accumulated Other Comprehensive Income | (97) | (154) |
| Retained Earnings | 154,317 | 149,679 |
| Treasury Stock | (26,111) | (24,042) |
| | 141,365 | 140,115 |
| Noncontrolling Interest | 4,015 | 3,466 |
| Total Equity | 145,380 | 143,581 |
| **Total Liabilities & Equity** | $167,897 | $167,772 |

Pardee Resources Company
Unaudited Consolidated Income Statements

(Dollars in Thousands)

| | Three Months Ended 06/30/23 | Three Months Ended 06/30/22 | Six Months Ended 06/30/23 | Six Months Ended 06/30/22 |
|---|---|---|---|---|
| Divisional Revenues: | | | | |
| Metallurgical Coal | $6,222 | $6,326 | $10,971 | $11,042 |
| Oil & Gas | 1,483 | 3,558 | 3,532 | 6,647 |
| Timber & Surface | 822 | 2,055 | 2,613 | 5,119 |
| Alternative Energy | 608 | 992 | 1,394 | 1,697 |
| Agriculture | 4 | 107 | 5 | 145 |
| | 9,139 | 13,038 | 18,515 | 24,650 |
| Divisional Expenses: | | | | |
| Metallurgical Coal | 767 | 754 | 1,432 | 1,502 |
| Oil & Gas | 1,051 | 1,051 | 2,050 | 2,112 |
| Timber & Surface | 788 | 850 | 1,579 | 1,652 |
| Alternative Energy | 763 | 513 | 1,374 | 1,014 |
| Agriculture | 305 | (59) | 511 | 432 |
| | 3,674 | 3,109 | 6,946 | 6,712 |
| **Net Operating Income** | **$5,465** | **$9,929** | **$11,569** | **$17,938** |
| Interest and Other Income | 171 | 11 | 285 | 25 |
| Gain(Loss) on Equity Investment | 65 | 0 | 686 | (2) |
| General and Administrative | (1,530) | (1,590) | (3,406) | (3,331) |
| Interest Expense | (21) | (6) | (27) | (13) |
| **Income Before Taxes** | **$4,150** | **$8,344** | **$9,107** | **$14,617** |
| Taxes | 833 | 2,277 | 2,186 | 3,990 |
| **NET INCOME** | **$3,317** | **$6,067** | **$6,921** | **$10,627** |
| Net Loss - Noncontrolling Interest | 101 | 33 | 151 | 89 |
| Net Income - Pardee Resources Shareholders | 3,418 | 6,100 | **$7,072** | **$10,716** |
| **EARNINGS PER SHARE** | **$5.22** | **$9.24** | **$10.80** | **$16.23** |
| **EBITDA PER SHARE** (earnings before interest, taxes, depreciation and amortization) | $8.04 | $14.74 | $17.24 | $26.30 |
| Weighted Average Number of Common Shares Outstanding | 654,948 | 660,112 | 654,948 | 660,112 |
| Common Dividend Per Share | $1.80 | $1.80 | $3.60 | $3.60 |
| Total Shareholder Return (dividend paid plus change in stock price) | | | -6.31% | 22.05% |

# Pardee Resources Company
## Comparison Data Sheet

| | Three Months Ended 06/30/23 | Three Months Ended 06/30/22 | % Change | Six Months Ended 06/30/23 | Six Months Ended 06/30/22 | % Change |
|---|---|---|---|---|---|---|
| **Metallurgical Coal** | | | | | | |
| Revenues - Millions | $6.22 | $6.33 | -1.7% | $10.97 | $11.04 | -0.6% |
| Coal Tons Sold - Millions | 0.68 | 0.72 | -5.6% | 1.24 | 1.35 | -8.1% |
| Royalty/Coal Ton | $8.65 | $8.36 | 3.5% | $8.28 | $7.65 | 8.2% |
| **Oil & Gas** | | | | | | |
| Revenues - Millions | $1.48 | $3.56 | -58.4% | $3.53 | $6.65 | -46.9% |
| Production - bcfe | 0.55 | 0.52 | 5.8% | 1.10 | 1.12 | -1.8% |
| Price/mcfe | $2.53 | $6.57 | -61.5% | $3.11 | $5.83 | -46.7% |
| **Timber & Surface** | | | | | | |
| Revenues - Millions | $0.82 | $2.06 | -60.2% | $2.61 | $5.12 | -49.0% |
| Production - Board feet - Millions | 1.73 | 3.47 | -50.1% | 6.35 | 8.27 | -23.2% |
| Stumpage Price/Thousand Bd. Ft. | $262.74 | $374.29 | -29.8% | $235.45 | $384.12 | -38.7% |
| Production - Softwood Tons - Thousands | 1.10 | 14.88 | -92.6% | 13.80 | 20.21 | -31.7% |
| Stumpage Price/Ton Softwood | $9.00 | $14.95 | -39.8% | $12.06 | $15.03 | -19.8% |
| Production - Hardwood Tons - Thousands | 5.03 | 9.97 | -49.5% | 14.52 | 25.72 | -43.5% |
| Stumpage Price/Ton Hardwood | $1.89 | $2.91 | -35.1% | $2.41 | $2.90 | -16.9% |
| **Alternative Energy** | | | | | | |
| Revenues - Millions | $0.608 | $0.992 | -38.7% | $1.394 | $1.697 | -17.9% |
| Production - k/w - Millions | 5.24 | 5.13 | 2.1% | 8.18 | 8.51 | -3.9% |
| Electric Sales Price per k/w | $0.111 | $0.112 | -0.9% | $0.113 | $0.113 | 0.0% |
| Production - SREC Units | 5,364 | 5,280 | 1.6% | 8,392 | 8,757 | -4.2% |
| SREC Price/Credit | $75 | $80 | -6.3% | $73 | $82 | -11.0% |
| **NET DIVISIONAL OPERATING INCOME:** | | | | | | |
| (Dollars in Millions) | | | | | | |
| Metallurgical Coal | $5.46 | $5.57 | -2.0% | $9.54 | $9.54 | 0.0% |
| Oil & Gas | 0.43 | 2.51 | -82.9% | 1.48 | 4.54 | -67.4% |
| Timber & Surface | 0.03 | 1.21 | -97.5% | 1.03 | 3.47 | -70.3% |
| Alternative Energy | (0.16) | 0.48 | -133.3% | 0.02 | 0.68 | -97.1% |
| Agriculture | (0.30) | 0.17 | 276.5% | (0.51) | (0.29) | -75.9% |
| Net Operating Income | $5.46 | $9.94 | -45.1% | $11.56 | $17.94 | -35.6% |
| EBITDA - Millions (earnings before interest, taxes, depreciation and amortization) | $5.27 | $9.75 | -46.0% | $11.29 | $17.43 | -35.2% |

**Lexington v. Zinn**

On December 7, 2007, Lexington Land Development, LLC (Lexington) filed litigation against certain parties in East Baton Rouge Parish, Louisiana. Lexington claims that their 48-acre parcel was contaminated by a release from a pipeline owned and operated by Shell Pipeline Company (Shell), as well as the oil and gas exploration and production activities of other various defendants, including Zinn Petroleum Company (Zinn). Lexington seeks various remedies, including remediation and damages. The Company is not a defendant in this case; however, the Company has a minority interest in certain leases and wells operated by Zinn, and, under joint operating agreements, the Company and certain other interest owners are responsible for their respective shares of any damages or judgments sustained by Zinn.

Under Louisiana law, this litigation triggered attention from regulatory agencies. The Louisiana environmental regulatory agencies required Shell and other defendants, including Zinn, to submit plans for assessing soil and ground water conditions at the site. Shell completed its assessment and remediation which was approved by the agencies. Zinn's environmental experts have concluded their assessment and determined that Zinn's operations, which began in 1992, have been in compliance with regulatory standards. Zinn's experts have further determined that the data indicating the presence of certain constituents in the soil and shallow groundwater are the result of either former closed production storage pits used by other operators before Zinn began operations on the property or natural environmental conditions. Zinn's experts have also opined that the presence of these constituents is, for the most part, within applicable regulatory standards and not harmful to the environment. Finally, Zinn's experts have found defects in the methodology used by the plaintiff's experts and recommend that decisions regarding the need for assessment/restoration, as may be appropriate, be done under the direction of the regulatory agency in order to achieve regulatory closure status for the site.

On October 16, 2019, the District Court ruled that plaintiff's claims against co-defendant Chevron would be dismissed because they were not filed timely. This favorable decision was appealed by the plaintiff. The District Court denied this appeal and the plaintiff subsequently requested a rehearing from the Court of Appeals. This request for rehearing was denied. The plaintiff later filed a request for discretionary review with the Louisiana Supreme Court which was denied. Discovery is not complete in this case, and a trial date has not been set. Plaintiff's counsel has also provided notice indicating intent to pursue alternative remedies through a regulatory enforcement action but has not yet filed such an action.

Zinn is vigorously defending both the civil and regulatory actions. This action is subject to substantial uncertainties concerning the outcome of material factual and legal issues related to the litigation. Accordingly, we cannot currently predict the manner and timing of the resolution of these matters and are unable to estimate the amount of any possible losses, which could be material.

**DC Solar Solutions, Inc.**

In December 2015, the Company invested $7.7 million in a limited liability company (Fund) that purchased mobile solar generators (MSGs) from DC Solar Solutions, Inc. (DC Solar) and, in turn, leased the MSGs to DC Solar Distribution, Inc., an affiliate of DC Solar. In early 2019, the Company learned through public sources that, in December 2018, the U.S. government had seized substantially all of the assets of DC Solar and its affiliates. In February 2019, DC Solar and its affiliates, including our lessee, filed for Chapter 11 bankruptcy protection. In February 2019, an affidavit from a Federal Bureau of Investigation special agent was filed in the bankruptcy proceeding asserting that DC Solar was operating a fraudulent "Ponzi-like scheme" and that a majority of the MSGs sold to investors and a majority of the lease revenues claimed to have been received by DC Solar Distribution, Inc. may not have existed. The Chapter 11 proceedings were subsequently converted to Chapter 7 liquidations. Due to the bankruptcy proceedings being converted to Chapter 7, the Company evaluated its remaining equity investment value of $485,332 and recorded an impairment charge in that amount as of December 31, 2018.

In 2019, an independent audit located and identified all of the 125 MSGs purchased by the Fund in 2015. On July 2, 2020, the DC Solar Bankruptcy Court entered an order authorizing the sale of the Fund's MSGs, along with those of the other DC Solar funds. The buyer conducted an inventory of the MSGs to be purchased and was able to locate only 113 of the Fund's 125 MSGs that had been located during the 2019 inventory. In September 2020, the buyer closed on its acquisition of the 113 MSGs, yielding $412,225 in gross sale proceeds. As a result of the MSG sale, the Company was required to recapture the fifth unvested year related to the underlying investment tax credit that had been available with respect to the original investment. In 2015, the investment allowed the Company to claim a $5.6 million investment tax credit which requires a five-year holding period. The accounting for this investment tax credit in 2015 created a $5.6 million tax asset while recording a direct offset of the equity investment's carrying value. In 2020, the 20% investment tax credit recapture restored the investment's carrying amount to $1.1 million, or 20% of the original investment tax credit claimed. Subsequently, the Company recorded a $1.1 million charge to 2020 pre-tax earnings related to this recapture. For tax purposes, the $1.1 million charge is not tax deductible, and 20% of the original tax asset was removed from the Balance Sheet.

In 2022, the Company was provided with a draft "Notice of Proposed Adjustment" (NOPA) from the IRS related to their current IRS exam for tax year 2018. The NOPA included a $1.4 million tax assessment associated with the investment tax credits the Company utilized in tax years 2018 and 2019, plus interest. According to the NOPA, the IRS is challenging the values the Company had initially assigned to the MSGs and whether they had all been effectively placed in service, and consequently whether the amount of the associated investment tax credits were appropriate. The Company is considering the appeal of these conclusions but while the process is pending, has established a reserve for the full $1.4 million as of December 31, 2022. Due to various uncertainties, the Company is currently unable to determine the final financial impact arising from this complex situation; however, this impact could be as much as $1.5 million, which includes the full amount of the IRS tax assessment plus interest.

Forward Looking Statement

Certain of the statements contained herein (other than statements of historical facts) are forward-looking statements. Such forward-looking statements include estimates and assumptions related to the Company's growth, reserves, the state of future markets for natural resource, renewable and agricultural products, and the ability of the Company to sell its natural resource, renewable and agricultural products on a profitable basis. These forward-looking statements are subject to change and uncertainty which are, in many instances, beyond the Company's control and have been made based upon management's expectations and beliefs concerning future developments and their potential effect on the Company. There can be no assurance that future developments will be in accordance with management's expectations or that the effect of future developments on the Company will be those anticipated by management. Actual financial results, including revenue growth and earnings results, could differ materially from those anticipated by the Company depending on the outcome of certain factors, which may include, among others, changes in the wholesale prices for timber, oil, natural gas, coal, renewable and agricultural products; increases in property acquisition costs; adverse weather conditions; litigation; failures of our lessees to mine, drill and harvest at rates we currently anticipate; differences between actual reserves and estimated amounts; legislative changes or government regulations which make it more difficult or expensive to sell, extract or harvest our natural resource, renewable and agricultural products or impose greater financial burdens on the users of such products; unanticipated costs for remediation and reclamation; the scope of the fraud alleged to have been conducted by DC Solar; and other risks and uncertainties.

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